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Audit Terms of Reference (TOR)
Agricultural council of Tanzania

1. Background

Agricultural Council of Tanzania is an apex organization for private sector stakeholders in agriculture (crop, livestock, fisheries and forestry etc.) uniting and representing them to safeguard their interests. Its core function is lobbying and advocacy for better business environment of its members and the general agricultural community. It was established in 1999 but became operationally active since 2005 when the Secretariat (for overseeing activities of the organization on daily basis) was installed.

2. Objectives and Standards

The objective of the audit is to enable the auditor to express an audit opinion(s) on whether the Financial statements of the project present fairly, in all material respects, the financial position of the project, and on funds received and expenditures incurred for the relevant accounting period in conformity with the International Financial Reporting Standards. The auditor shall conduct this audit in accordance with the International Auditing Standards.

3. Preparation of the Financial statements

The responsibility for the preparation of financial statements including adequate disclosure is that of Agricultural Council of Tanzania. The Agricultural Council of Tanzania is also responsible for the selection and application of accounting policies, procedures, guidelines and systems that entertain sound and professional financial management.

The auditor is responsible for forming and expressing opinions on the financial statements. The auditor would carry out the audit of the project in accordance with the International Standards on Auditing (ISA), as promulgated by the International Federation of Accountants (IFAC). As part

of the audit process, the auditor may request from the implementing agency written confirmation concerning representations made in connection with the audit

4. Scope of the Audit

The annual financial statements of ACT shall be audited in accordance with International Standards of Auditing (ISA), promulgated by the International Federation of Accountants (IFAC), and will include such tests and auditing procedures as the auditor will consider necessary under the circumstances. The auditor shall comply with all ISAs relevant to the audit and special attention shall be provided on:

a) ISA 200 (Overall Objectives of the Independent auditor and the conduct of an audit in accordance with international standards on auditing) paragraph 18 and 20.
b) ISA 800 (Special Considerations audits of single financial statements and specific elements, accounts or items of financial statements").

c) Fraud and Corruption: Consider the risks of material misstatements in the financial statements due to fraud as required by ISA 240: The Auditor's Responsibility to Consider Fraud in an Audit of Financial Statements. The auditor is required to identify and assess these risks (of material misstatement of the financial statements) due to fraud, obtain sufficient appropriate audit evidence about the assessed risks; and respond appropriately to identified or suspected fraud;

d) Laws and Regulations: In designing and performing audit procedures, evaluating and reporting the results, consider that noncompliance by the implementing agency with laws and regulations may materially affect the financial statements as required by ISA 250: Consideration of Laws and Regulations in an Audit of Financial Statements;

e) Governance: Communicate audit matters of governance interest arising from the audit of financial statements with those charged with governance of an entity as required by International Standards on Auditing 260: Communication of Audit Matters with those Charged with Governance.

f) Risks: In order to reduce audit risk to an acceptable low level, determine the overall responses to assessed risks at the financial statement level, and design and perform further audit procedures to respond to assessed risks at the assertion level as required by Internal Standard on Auditing 330: The Auditor's Procedures in Response to Assessed Risks.

The Audit shall cover a period from 1st January 2024 to 31st December 2024.

5. Deliverables and Time Schedule

The auditor is required to deliver an audit package that includes:

a. Identification of the total expenses and total income
b. The subject of the Audit
c. The financial reporting framework applied
d. The Auditing standards applied
e. A statement that the auditor has obtained reasonable assurance about whether the financial statements as a whole are free from material misstatement.
f. Auditors opinion
g. In addition to the reports, the auditor shall submit a management letter (matters for governance attention) which shall contain any findings made during the audit of the Project.

6. Requirement for the Auditor

6.1. General Principles

By agreeing these ToR, the auditor confirms meeting at least one of the following conditions:

- The auditor is a member of a national accounting or auditing body or institution which in turn is a member of the International Federation of Accountants (IFAC).
- The auditor is a member of a national accounting or auditing body or institution. Although this organization is not member of the IFAC, the auditor commits to undertake the engagement in accordance with the IFAC standards and ethics set out in these ToR.

6.2. Qualifications, Experience, and Team Composition

6.2.1. Qualification and Experience

The auditor will employ staff with appropriate professional qualifications and suitable experience with IFAC standards and with experience in verifying financial information of entities comparable in size and complexity to the Recipient. In addition, the audit team as whole should have:

- Experience with audits in Tanzania, with IPSAs application as a key area.
- Experience with audits of Donor funded projects.

- Sufficient knowledge of relevant laws, regulations and rules in the country concerned. This includes but is not limited to taxation, social security and labor regulations, accounting and reporting.
- Fluency in English

6.2.2. Team composition

The team of auditors required for this engagement will be composed of a category 1 auditor who has the ultimate responsibility for the expenditure verification and a team which is composed of an appropriate mix of category 2 – 4 auditors.

6.2.3. Categories of staff/experts

Category 1 – (Audit Partner)

A Category 1 expert (audit partner) should be a partner or another person in a position similar to that of a partner and be a highly qualified expert with relevant professional qualifications who assumes or has assumed senior and managerial responsibilities in public audit practice. He/she should be a member of a national or international accounting or auditing body or institution. He/she must have at least 12 years of professional experience as a professional auditor or accountant in public audit practice. The audit partner will be the person who will be responsible for the specific contract and its performance as well as for the report that is issued on behalf of the firm. He/she has the appropriate authority from a professional, legal or regulatory body and is authorized to certify accounts by the laws of the country in which the audit firm is registered.

Category 2 – (e.g. Audit Manager)

Audit managers should be qualified experts with a relevant university degree or professional qualification. They should have at least 6 years of experience as a professional auditor or accountant in public audit practice including relevant managerial experience of leading audit teams. He/she should be a member of a national or international accounting or auditing body or institution.

Category 3 – (e.g. Senior Auditor)

Senior auditors should be qualified experts with a relevant university degree or professional qualification and at least 3 years professional experience as a professional auditor or accountant in public audit practice.

Category 4 – (e.g. Assistant Auditor)

Assistant auditors should have a relevant university degree and at least 6 months professional experience in public audit practice.

6.2.4. Curriculum Vitae (CVs)

The auditor will provide the Recipient with CVs of the staff/experts involved in the engagement. The CVs will include appropriate details for the purpose of the evaluation of the offer on the relevant specific experience for this engagement and the qualifying work carried out in the past.